



PRIVATISATION COMMISSION

Ministry of Finance
Government of Pakistan

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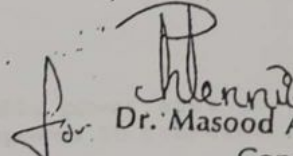
Mr. Inam Majeed
Chairman:
Kot Addu Employees Union
D-16, Wapda Colony
Kot Addu

Subject: Staff Agreement

Attached please find a copy ⁴ the Staff Agreement for Kot Addu.

Regards,

Yours sincerely,


Dr. Masood Ahmed
Consultant

FIFTEEN RUPEES

STAFF AGREEMENT

THIS AGREEMENT is made this 27th day of June, 1996 among the President of the Islamic Republic of Pakistan, through the Secretary, Privatization Commission, Government of Pakistan (hereinafter referred to as the "GOP" which term and expression wherever the context so admits means and includes its successors in interest and assigns) Kot Addu Power Company Limited, a company incorporated under the laws of Pakistan and having its registered office at 5-A Constitution Avenue, Islamabad (hereinafter referred to as "KAPCO" which term and expression wherever the context so admits means and includes its successors in interest and assigns), Pakistan Water and Power Development Authority, a statutory corporation established pursuant to the Pakistan Water and Power Development Authority Act, 1958 with its principal office at WAPDA House (hereinafter referred to as "WAPDA" which term and expression wherever the context so admits means and includes its successors in interest and assigns) and Pakistan Wapda Hydro Electric Central Labour Union, a registered union and presently the collective bargaining agent for WAPDA employees, with its principal office at Bakhtiar Labour Hall, 28 Nisbet Road, Lahore-54000 (hereinafter referred to as "PWHECLU" which term and expression wherever the context so admits means and includes its successors in interest and assigns).

HEREAS

- (A) WAPDA currently owns and operates the Kot Addu power station (the "Complex") near Multan, Pakistan and proposes to transfer the Complex to KAPCO;
- (B) The GOP is privatizing the Complex by selling twenty six percent (26%) of the shares in KAPCO to a strategic investor and has agreed with PWHECLU that WAPDA's regular employees at

C/6

the Complex will be entitled to either opt for employment with KAPCO or accept a voluntary severance package as agreed in TERMS AND CONDITIONS AGREED BETWEEN PRIVATIZATION COMMISSION, GOVERNMENT OF PAKISTAN AND PAKISTAN WAPDA HYDRO ELECTRIC CENTRAL LABOUR UNION (C.B.A.) APPLICABLE TO WAPDA REGULAR STAFF TRANSFERRED WITH WAPDA'S THERMAL POWER STATIONS ON THEIR PRIVATIZATION executed between the GOP, WAPDA and PWHECLU (the "TERMS");

- (C) The parties have agreed to enter into this Agreement to give effect to the TERMS.

NOW THEREFORE, the parties agree as follows:

1. This Agreement will become effective when the Complex is taken over by the strategic investor i.e. on the date shares in KAPCO are transferred by WAPDA to the strategic investor (the "Effective Date").

2. As on the Effective Date the regular employees of WAPDA at the Complex i.e. those employees who are not contract workers, casual workers, daily wage workers and deputationists (unless they have been recruited under the employees son's quota) will have the option to either accept the Severance Package as defined in Clause 9 hereof or become employees of KAPCO. The services of other employees of WAPDA at the Complex shall stand terminated on the Effective Date and WAPDA agrees to indemnify and hold harmless KAPCO against all claims and demands made by such employees against KAPCO. Employees who do not accept the Severance Package on the Effective Date will be deemed to have accepted employment with KAPCO; provided, however, that such employees will have the right to accept the Severance Package offered as on the Effective Date within ninety days of the Effective Date i.e. the amount of the Severance Package will be the amount they would have been paid if they had accepted the Severance Package on the Effective Date. For the purposes of clarification the amount payable under the Severance Package to each of the employees, whether such employee accepts the Severance Package on the Effective Date or within ninety days thereof is set out in Annexure 1 hereto.

3. WAPDA is relieved of further obligations towards employees who (i) accept the Severance Package, (ii) seek employment with KAPCO or (iii) who are deemed to have opted for employment with KAPCO except for any accrued and unpaid compensation due to such employees (other than compensation under any retirement/provident fund scheme; provided WAPDA has transferred funds to KAPCO to meet that liability) and KAPCO agrees to indemnify and hold harmless WAPDA from any claims made by such employees.

4. KAPCO will not retrench the employees who have accepted or are deemed to have accepted employment with KAPCO and undertakes to provide security of service to such employees subject to the labour laws of Pakistan.

5. As of the Effective Date eligible employees who are employed by KAPCO or who have deemed to have accepted employment with KAPCO (the "said employees") will be employed by KAPCO and will be entitled to receive the basic pay applicable to them at the time they transferred their employment from WAPDA with the following additional benefits:

a) Basic pay of the said employees will be enhanced by 15% from their last basic pay from WAPDA. Unless provided in this Agreement allowances being paid to the said employees shall be paid on the enhanced basic pay.

b) WAPDA's Kot Addu allowance, now renamed Power House allowance, will be paid at the following rates:

1) For employees in BPS 1-4 50% of basic pay
& BPS 12-16 (technical & non-technical)

2) For employees of BPS 5-11

- Technical 75% of basic pay

- Non technical 50% of basic pay

Power House Allowance, will not be reduced on promotion or move-over of the said employees.

c) Generation allowance, will be paid to all the said employees, whether generation and non-generation and shall be determined according to such employees' combined years of employment (to be determined according to present relevant rules) with WAPDA and the Company on the following scales:

1) upto 7 years of service 50% of basic pay

2) 7-14 years of service 55% of basic pay

3) 14 years of service and above 60% of basic pay

The maximum generation allowance shall be Rs.5400.00 per month.

d) Uniform allowance/Liveries allowance will be admissible to the said employees as follows:

Uniform Allowance/Liveries
Allowance to liveried staff

Rs.70 per month
to those
employees who
were not provided
liveries by
WAPDA.

Washing allowance

Rs.30 per month
to those who were
provided liveries
by WAPDA.

- e) Shift allowance will be admissible to the following employees performing night shift for six days in a month: Foremen, Operators Grade-I & II, Attendants, Shift Chemists, Laboratory Assistants, Telephone Operators, Helpers, Head Firemen, Firemen, Tubewell Operators/Tubewell Drivers/Pump drivers, Diesel Engine Drivers and Cleaners, telecommunication staff and other employees working in shifts at the following rates:
- 1) Employees in BPS 11 to 16 @ 300/-p.m.
 - 2) Employees in BPS 1 to 10 @ 200/-p.m.
- f) Children of all the said employees will be entitled to education, free of cost, in any school or college set up on the premises of the Complex.
- g) Education allowance will be admissible to the said employees @ Rs.400 per month per college going child admitted to a hostel, upto a maximum of three children, subject to documentary evidence that the child is studying at a college and admitted to a hostel, except those children studying at a institution set up at the Complex, and provided that KAPCO transport does not regularly ply between the Complex and such child's college.
- h) The said employees will be entitled to medical facilities in accordance with WAPDA's order dated 4 July, 1995.
- i) On retirement, the said employees and their dependants including parents (as defined in WAPDA Rules on the date of this Agreement) will be entitled to medical facilities at the Complex hospital or at the nearest social security hospital. These benefits will also apply to family of deceased workers in accordance with WAPDA Rules. A procedure to give effect to these benefits will be developed between the parties within 90 days of this Agreement.

- j) The said employees will be entitled to free electricity as follows:

Non-Generation employees

Revised Concession

Grade 1-4	100 Units per month
Grade 5-10	150 Units per month
Grade 11-15	200 Units per month
Grade 16	300 Units per month

Generation employees

Power House Staff in grade 1-4	300 Units per month
Power Houses Staff in grade 5-16	600 Units per month

- k) The said employees will also be entitled to free electricity after retirement but at the rate of 50 percent of the scale as in j) above. A procedure for giving effect to this benefit will be developed between the parties within 7 days of this Agreement.
- l) The said employees and their immediate family members will be entitled once a year to return railway tickets between the nearest rail terminal to the Complex and any place in Pakistan. Immediate family members means spouse and dependent children.
- m) The said employees will be provided economical transport between the Complex to the nearest rail terminal while proceeding on and returning from leave.
- n) Loan facility for the said employees for purchase of House/Car/Motorcycle will be provided as per following scales and applicable WAPDA rules:

- 1) Purchase of House/Plot 36 months of basic pay
- 2) Car Advance
Where said employees pay is above Rs. 5,085 p.m. Rs. 100,000
- 3) Motorcycle Advance
Where said employees pay is between Rs. 5,085 and Rs. 1951 p.m. Rs. 35,000

4) Bicycle.

Rs. 2,000/-

Where said employees pay
is below Rs.1951 p.m.

or the scales as applicable on the Effective Date.

o) Residential Accommodation:

1) Rent free accommodation will be provided to employees in the residential colony when available according to entitlement.

2) Where accommodation is not available house rent allowance @ 30% of minimum of basic pay scale will be provided to the employees.

p) KAPCO will not be restricted or prohibited in any way from offering any of its employees bonus, incentives or other compensation in addition to the compensation described herein on any basis that the management of KAPCO deems appropriate.

6. WAPDA employees and the said employees including officers will be given option for buying shares of KAPCO upto 10% out of each WAPDA sale of shares, at the offered price as and when these shares are offered for sale in tranches. The total number of shares offered to each employee will be proportionate to his basic pay at the time of such offer of shares.

7. The said employees will be entitled to promotions based on competence, seniority, successful completion of prescribed training etc. However, final decision as to promotions will be the prerogative of the management.

8. Children of the said employees will be given preference for employment provided they are equal to others on merit and have the requisite qualifications. Merit will be determined by the management. The right given herein will apply to only one child of each employee.

9. Those employees who do not elect to transfer to KAPCO as on the Effective Date will cease their employment with WAPDA and will be entitled to a voluntary severance package namely, the "Severance Package" i.e. Golden Handshake as per All Pakistan State Enterprises Workers Action Committee's agreement with the Government of Pakistan (1+4) agreement formula, viz., where 1 stands for legal dues including pension and 4 stands for four basic salaries for each completed year of service upto the Effective Date, by the new management of the Complex within seven days of their exercising their option for the

Severance Package. For purposes of the Severance Package "legal dues" mean (a) for employees with service between 1 to 25 years, gratuity equivalent to two months salary for each completed year of service in lieu of pension, or (b) for employees with service exceeding 25 years, pension dues under the WAPDA Rules. Those opting for the Severance Package will not be entitled to any other benefits provided in this Agreement. The Severance Package will be based on the last pay drawn by such employees from WAPDA.

10. On the Effective Date WAPDA will transfer to KAPCO such funds as are necessary to cover WAPDA's obligations under WAPDA's retirement/provident fund schemes with respect to those employees who have either accepted employment with KAPCO or who are deemed to be employees of KAPCO pursuant to the provisions of Clause 2 above; provided, however, that the transferred funds relating to those employees who opt for the Severance Package after the Effective Date will be refunded to WAPDA within seven days of the employee leaving the service of KAPCO and the new management of KAPCO will under no circumstances be entitled to utilise the said funds for meeting its obligations to the said employees under the Severance Package. WAPDA retains the right to audit the employee and other records relating to employment and payments made to the said employees in respect of the Severance Package.

11. To deal with any disputes arising out of this Agreement the parties undertake to agree within thirty days of execution of this Agreement to an agreed procedure for resolving such disputes.

12. WAPDA's leave and pension rules and any other rules not specified in this Agreement applicable to the said employees on the Effective Date will be protected under the said employees employment with KAPCO.

13. This Agreement will be governed by the labour laws of Pakistan and the Government of Pakistan guarantees its implementation.

IN WITNESS WHEREOF THE PARTIES HERETO HAVE EXECUTED THIS AGREEMENT
THIS THE DATE HEREINABOVE MENTIONED.

President of the Islamic
Republic of Pakistan,
through the Secretary,
Privatization Commission,
Government of Pakistan

KOL ADDU POWER COMPANY
Limited

WITNESSES:

1. T. B. H. (James. Bhatt)
2. [Signature]

WITNESSES:

1. Abdullah Khan
2. Lawrence
3. P. F. B.

[Signature]
Pakistan Water and Power
Development Authority

[Signature]
Pakistan Water and
Electric Central Board
Union

WITNESSES:

1. T. B. H.
2. [Signature]

WITNESSES:

1. [Signature]
2. [Signature]

Witnesses:

1. T. B. H.
2. [Signature]